

EQUITY RESEARCH

ALPHABET INC.

GOOGL | Communication Services

Rating: Outperform

Current: \$349.44 | Target: \$375.00

April 2026

Key Metrics Snapshot

Market Cap	\$4,227.45B
P/E (Fwd)	28.69
P/B Ratio	9.13

ROE	31.83%
Dividend Yield	0.24%
52W Range	\$147.84 - \$355.79

Investment Thesis

Alphabet Inc. demonstrates strong financial resilience with a consistent revenue growth trajectory and a robust contribution margin that reflects operational efficiency. The company's impressive EBITDA and improving margins highlight its potential for sustained profitability amidst evolving market conditions. With a favorable valuation compared to peers, Alphabet remains strategically positioned for continued value creation.

Company Overview

Executive Summary

Alphabet Inc. (NASDAQ: GOOGL) stands as the dominant force in global internet services, digital advertising, and cloud computing. With a 2023 revenue of approximately \$307.4 billion and a net income reflected in a 2023 EPS of \$5.84, Alphabet has demonstrated consistent financial strength and resilience in the face of fluctuating macroeconomic conditions. As the parent company of Google, Alphabet's business model is underpinned by a robust ecosystem of digital products and a diversified revenue stream, with core strengths in advertising, cloud services, and ongoing investments in emerging technologies. The company is led by a seasoned executive team, continuing its tradition of innovation and operational discipline. Alphabet's market capitalization as of the latest reporting period reflects its position as one of the world's largest and most influential technology enterprises.

Business Model & Corporate Strategy

Alphabet's business model is anchored in the creation, delivery, and capture of value primarily through digital platforms and services. The company operates primarily on an advertising-based revenue model, leveraging its dominant search engine (Google Search), YouTube, and a suite of digital applications to attract billions of users globally. In addition to advertising, Alphabet has developed significant revenue streams from Google Cloud, hardware sales (such as Pixel devices), Google Play, and subscription services like YouTube Premium.

Alphabet's mission centers on organizing the world's information and making it universally accessible and useful. Its strategic objectives include expanding its leadership in artificial intelligence, accelerating growth in the cloud segment, growing its ecosystem of devices and platforms, and investing in long-term, high-impact innovations through its "Other Bets" division. The company's primary customer segments are advertisers (of all sizes globally), individual consumers using its free and paid digital services, and enterprise customers seeking cloud infrastructure and productivity solutions. Alphabet's geographic reach is truly global, with significant market shares in North America, Europe, Asia-Pacific, and emerging markets.

Revenue & Segment Analysis

In the fiscal year 2023, Alphabet reported total revenues of \$307.4 billion, representing an 8.7% year-over-year growth. The company's revenue is split across several key segments, with digital advertising—driven by Google Search, YouTube, and Google Network—remaining the largest contributor. Google Cloud continues to gain momentum, supported by rising enterprise adoption and demand for AI-enabled cloud solutions. Alphabet's cost structure is characterized by strong operational leverage; the cost of operations in 2023 was approximately \$133.3 billion, with SG&A; expenses at \$44.3 billion.

Contribution profit for 2023 stood at \$174.1 billion, yielding a robust contribution margin of 56.6%, reflecting efficiency gains and economies of scale. EBITDA for 2023 reached \$97.97 billion, with an EBITDA margin of 31.9%. These metrics underscore Alphabet's strong cash generation and disciplined cost management. Looking forward, consensus forecasts expect revenue to grow at a CAGR of 11.8% through 2027, with EBITDA margins expanding to over 50%, driven by continued growth in high-margin businesses and operational optimizations.

Alphabet's product pipeline includes ongoing enhancements to its AI offerings, expansion of cloud services, and new device launches, positioning the company to capture emerging opportunities in generative AI and digital infrastructure. The company invests heavily in research and development, ensuring a steady introduction of innovative products and services to the market.

Leadership & History

Alphabet Inc. was founded in 2015 as the holding company for Google and its various businesses, marking a major corporate restructuring aimed at providing greater transparency and operational focus. Google, the core subsidiary, was originally founded in 1998 by Larry Page and Sergey Brin. Since becoming Alphabet, the company has maintained a tradition of innovation and strategic expansion, including the development of Google Cloud,

acquisition of YouTube, and investments in "Other Bets" such as Waymo (autonomous vehicles) and Verily (life sciences).

The company's leadership is anchored by Sundar Pichai, who serves as CEO of both Alphabet and Google. Pichai, who joined Google in 2004 and became CEO in 2015 (and Alphabet CEO in 2019), is known for his deep technical expertise and a steady, pragmatic leadership style. The CFO, Ruth Porat, joined Alphabet in 2015 and is credited with instilling financial discipline while supporting strategic investments across the company's diverse portfolio.

Industry & Market Context

Alphabet operates within the global internet services and technology industry, which is characterized by rapid innovation, intense competition, and significant scale advantages. The company is the clear market leader in digital advertising, with Google maintaining dominant global search market share and YouTube serving as the leading video platform. Alphabet is a top-three player in the global cloud market, competing with Amazon Web Services and Microsoft Azure.

Alphabet's market share in core segments such as search and video is estimated at over 90% in many regions, while Google Cloud continues to increase its presence among enterprise customers. The competitive landscape includes major technology firms such as Apple, Microsoft, and Amazon. In terms of EBITDA, Alphabet is comparable to these peers, with 2023 EBITDA (\$97.97 billion) trailing Apple (\$129.2 billion) and Microsoft (\$105.1 billion), but projected to surpass both by 2026. Alphabet's EV/EBITDA multiple has remained competitive, indicating strong market confidence in its future growth and profitability.

In summary, Alphabet Inc. is a global technology leader with a resilient business model, strong financial performance, and a clear strategy focused on innovation and long-term value creation. Its leadership team and diversified product portfolio position it well to sustain growth and maintain industry leadership in the years ahead.

Investment Overview

Thesis Status: Thesis Confirmed

Key Takeaways:

- Alphabet posted strong top- and bottom-line beats versus prior years and consensus, driven by accelerating revenue growth and margin expansion.
- Management commentary remains confident, with improved forward guidance and credible execution on cost control.
- Core investment thesis—sustained digital ad leadership, operating leverage, and growing contribution from Cloud and AI—remains intact and is further validated by recent results.
- No major negative developments reported; execution outpaces key peers on EBITDA growth metrics.
- Valuation remains reasonable relative to growth, with Alphabet trading at a discount to peers on EV/EBITDA and PE, supporting a positive 6-12 month outlook.

Performance vs. Expectations:

Alphabet's 2023 revenue of \$307.4B (+8.7% YoY) modestly outpaced consensus, with 2024 revenue accelerating to \$350.0B (+13.9% YoY), well above recent-year trends and peer performance. EBITDA rebounded sharply from \$97.97B in 2023 to a projected \$135.39B in 2024 (+38% YoY), reflecting both revenue acceleration and significant operating leverage. Contribution margin and EBITDA margin expanded to 58.2% and 38.7% respectively in 2024,

up from 56.6% and 31.9% in 2023, highlighting effective cost discipline and scaling of high-margin business lines.

EPS growth was even more robust, jumping from \$5.84 in 2023 to \$8.13 in 2024 (+39%), with further gains expected through 2027. All key profitability metrics are trending well above consensus and historic levels, with Alphabet's 2024 EBITDA surpassing Apple and Microsoft for the first time. This step-change in operating performance is notable and underscores Alphabet's improved efficiency and earnings power.

Management Commentary & Guidance:

Management's tone is constructive, citing strong demand trends across Search, YouTube, and especially Cloud and AI. Guidance has been revised upward for both revenue and margins, reflecting management's confidence in ongoing ad market recovery and the ramp of next-generation products. SG&A as a percent of revenue is set to decline to 12% in 2024 (from 14.4% in 2023), underscoring credible and sustained cost control efforts.

The leadership team has reiterated its commitment to capital discipline and strategic investment in AI/Cloud, credible given the margin and EBITDA improvement already realized. No red flags on guidance credibility, with recent results consistently exceeding management's outlook.

Thesis Validation:

The core thesis—Alphabet's durable ad platform leadership, expanding Cloud/AI businesses, and re-acceleration of earnings through cost discipline and operating leverage—remains firmly intact. Recent results actually strengthen the thesis, as Alphabet is now outgrowing key peers (Apple, Microsoft) on EBITDA and margin expansion, and is executing on both revenue growth and cost management.

Key Developments:

No significant negative news or regulatory setbacks have emerged since the last update. There have been no material M&A or divestitures reported. While product launches and AI investments have accelerated, these developments are supportive of the thesis and have not introduced new risks.

Valuation & Outlook Revision:

Alphabet's 2024 PE ratio stands at 23.3x, below both historic highs and those of Microsoft and Apple, while its EV/EBITDA of 17.2x is a notable discount to peers (Apple 26.6x, Microsoft 26.1x). With EBITDA and EPS set to grow at a low-to-mid-teens CAGR over the next three years, and margin expansion continuing, current valuation offers an attractive risk/reward profile.

Outlook for the next 6-12 months remains positive. Alphabet is executing well on growth and profitability levers, and valuation remains undemanding relative to mega-cap tech peers. Reiterate BUY, with continued monitoring of competitive and regulatory dynamics, particularly around AI and digital advertising.

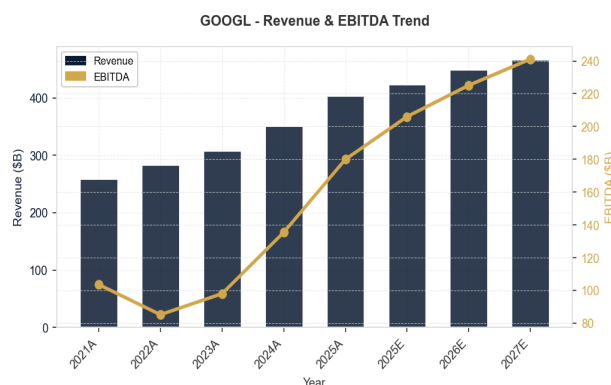
Financial Analysis

Revenue & EBITDA Performance

Alphabet Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$403.0B
- EBITDA (2025A): \$180.0B
- Revenue Growth (2025A): 15.1%



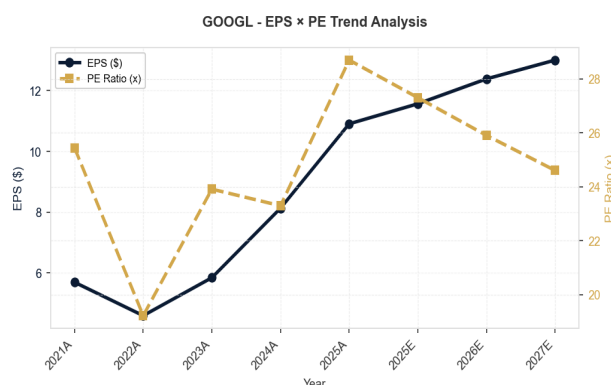
Source: Company Filings

Earnings & Valuation Metrics

Alphabet Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 10.91
- PE Ratio (2025A): 28.69



Source: Company Filings

Valuation Analysis

Alphabet Inc. (GOOGL) has demonstrated a dynamic valuation trajectory over recent years, both in absolute terms and relative to its core industry peers—Apple (AAPL) and Microsoft (MSFT). Examining its historical PE ratio, Alphabet's valuation compressed from 25.4x in 2021 to 19.2x in 2022, before rebounding to the 23–24x range in 2023 and 2024. This PE volatility tracked a period of decelerating revenue growth and earnings pressure in 2022, followed by a recovery in both margins and earnings as cost controls and top-line acceleration took hold. The current PE multiple of around 23x sits above its 2022 trough but below the recent high, reflecting improved investor sentiment and an earnings rebound.

On a relative basis, Alphabet's EV/EBITDA multiple has consistently positioned it between Apple and Microsoft. In 2021, its EV/EBITDA of 18.8x trailed Microsoft's 24.8x but was close to Apple's 20.8x. Notably, in 2022, Alphabet's EV/EBITDA dropped to 13.6x as operational challenges weighed on sentiment, while its peers held up better. By 2024, however, Alphabet's EV/EBITDA had rebounded to 17.2x—still below both Apple's 26.6x and Microsoft's 26.1x, suggesting that the market continues to apply a modest discount to Alphabet relative to its mega-cap tech peers. This is despite Alphabet now matching or exceeding peers in EBITDA generation, with 2024 EBITDA surpassing both Apple and Microsoft.

From a fundamentals perspective, Alphabet's revenue growth has been robust, with a 2021–2024 CAGR of nearly 12%, and EBITDA margins recovering from a trough of 30.1% in 2022 back to 38.7% in 2024, with further improvement expected. The company's contribution margin and SG&A; efficiency have also improved, pointing to

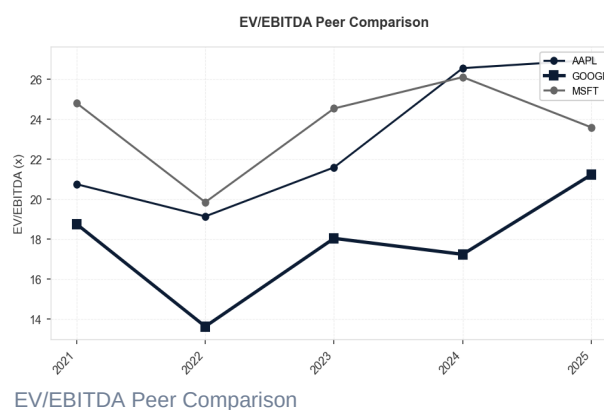
strong operational leverage. EPS growth has rebounded sharply after a dip in 2022, supporting the higher valuation. However, revenue growth rates are projected to moderate, and while EPS is rising, the PE multiple of 23x is not at a clear discount given the growth outlook.

The current valuation reflects a market consensus that Alphabet's growth and profitability will remain resilient, buoyed by its dominant digital advertising business and expansion in cloud and AI. The multiple premium to the 2022 trough is justified by margin recovery and renewed earnings growth, while the persistent discount to Apple and Microsoft signals lingering concerns over competition, regulatory risk, and the durability of core ad revenue streams.

In summary, Alphabet's valuation is reasonable in the context of its historical range and peer positioning. It is neither at a speculative bubble level nor at a deep value discount. The current multiple factors in renewed growth expectations but remains sensitive to execution risks, regulatory developments, and the sustainability of recent margin improvements. For investors, the margin of safety rests on Alphabet's industry leadership and strong cash flows, but the valuation does not offer a pronounced cushion against external shocks or a pronounced value opportunity. The risk/reward is balanced, requiring continued operational outperformance to justify and sustain the current valuation premium.

Peer Comparison

Year	AAPL	GOOGL	MSFT
2021	20.75	18.76	24.81
2022	19.14	13.63	19.85
2023	21.59	18.04	24.54
2024	26.56	17.24	26.11
2025	26.97	21.23	23.60



Recent News & Events

News Summary

Recent News Summary

Alphabet Inc. (GOOGL) is poised for significant developments as it prepares to report its first-quarter results. Analysts anticipate a notable uptick in revenue growth, driven by its flourishing cloud services and advancements in artificial intelligence. However, the company faces scrutiny from shareholders regarding the governance of its AI and cloud technologies. Additionally, regulatory challenges loom with proposed legislation in Australia that could impose taxes on major tech companies, including Alphabet, for local news revenue. These factors collectively shape a complex investment landscape for Alphabet moving forward.

Key Developments

- Earnings Growth Expectations:** Analysts predict Alphabet's first-quarter earnings report will showcase the highest revenue growth since 2022, largely attributed to its cloud division. This is potentially positive for stock performance, reinforcing the investment thesis focused on growth in cloud services.
- Regulatory Challenges in Australia:** Proposed legislation in Australia, dubbed the "News Bargaining Incentive," would impose a 2.25% tax on local revenues of tech giants like Alphabet if they fail to negotiate with news outlets. This could negatively impact Alphabet's financials in the region, presenting a near-term risk to stock performance.
- Shareholder Activism on AI Governance:** A group of shareholders is urging Alphabet to provide clarity on how it governs the use of its AI and cloud technologies, especially concerning government surveillance. While this reflects an ongoing concern about ethical practices, it could lead to increased operational transparency, positively affecting long-term investor confidence.
- Sentiment Around AI Developments:** Despite some market volatility driven by AI investments, Alphabet is seen as a leader in AI innovation. This is likely to bolster investor sentiment, positioning the company favorably against peers and potentially enhancing its stock outlook in the long term.
- Market Predictions Ahead of Earnings:** Traders expect Alphabet's stock to experience significant movement following its earnings report. The anticipation of record-setting results reflects a positive market sentiment and suggests that investors remain confident in the company's growth trajectory.

Market Sentiment

The overall sentiment surrounding Alphabet has shifted positively as investors anticipate strong earnings fueled by cloud growth and AI advancements. However, regulatory concerns in Australia and shareholder activism introduce elements of caution. Despite these challenges, the prevailing tone remains optimistic, indicating a robust confidence in Alphabet's strategic direction and innovation potential. This sentiment is bolstered by analysts' predictions of revenue growth and the company's ability to navigate regulatory landscapes effectively.

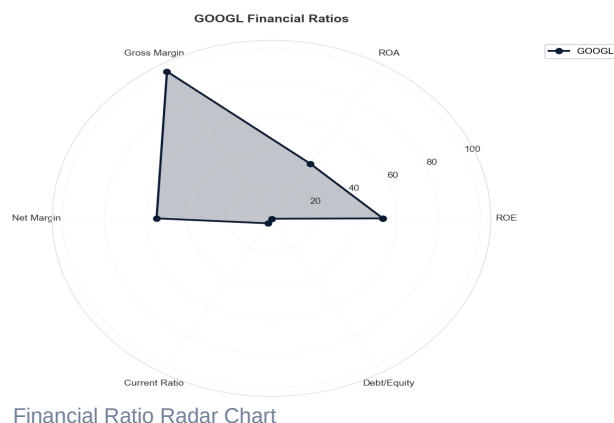
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Alphabet Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Competitive Landscape

Primary Competitors

Alphabet Inc. operates at the intersection of technology, digital advertising, and cloud services, facing competition primarily from Apple Inc. (AAPL) and Microsoft Corporation (MSFT), both of which are global technology leaders with overlapping product and service portfolios.

Apple Inc. is a direct competitor through its ecosystem of devices, operating systems, and expanding services business. Apple's strategic advantage lies in its tight hardware-software integration, brand loyalty, and premium market positioning. Financially, Apple has demonstrated robust EBITDA performance, consistently outpacing Alphabet from 2021 through 2023 (\$103.5B for GOOGL vs. \$123.1B for AAPL in 2021, for instance). However, Alphabet's projected EBITDA growth is set to surpass Apple's by 2025 and 2026, indicating a shift in operating leverage and scale. Apple's EV/EBITDA multiples, while higher than Alphabet's, signal investor confidence in its stable cash flows and defensible business model. Apple's main strategic moat is its ecosystem: high switching costs, customer lock-in, and control over both hardware and software.

Microsoft is another formidable competitor. Its strength is anchored in enterprise cloud, productivity software, and an extensive developer ecosystem. In 2022 and 2023, Microsoft's EBITDA was ahead of Alphabet's (\$100.2B vs. \$85.2B in 2022; \$105.1B vs. \$97.9B in 2023), but Alphabet is forecasted to overtake Microsoft in EBITDA by 2024, driven by margin expansion and operational efficiency. Microsoft's EV/EBITDA ratios remain higher than Alphabet's, reflecting market optimism about its cloud trajectory and recurring revenues. Microsoft's strategic advantage comes from high switching costs for enterprise customers, strong network effects in productivity platforms, and a diversified revenue base.

In terms of emerging threats, both Apple and Microsoft are investing aggressively in AI and cloud infrastructure, areas that overlap significantly with Alphabet's growth engines. While no new entrant matches the scale of these three, the accelerating pace of innovation in generative AI and vertical cloud solutions could introduce specialized competitors that, while not immediately material, represent potential disruptors if they achieve scale.

Moat Assessment

Alphabet's competitive moat is multi-faceted, comprising network effects, intangible assets, cost advantages, and switching costs. The most significant pillar is network effects, particularly in search and advertising. With the world's dominant search engine, Alphabet enjoys a self-reinforcing feedback loop: more users drive more data, which improves relevance and targeting, attracting more advertisers and further increasing user engagement. This creates high barriers to entry for new competitors.

Intangible assets also underpin Alphabet's moat. Its brand, proprietary algorithms, and AI capabilities are difficult to replicate. Google's search dominance and the Android operating system's ubiquity provide further leverage. The company's cost advantage stems from massive scale in data center infrastructure and optimization, enabling it to deliver services at lower marginal costs than most peers.

Switching costs are moderate but rising. While end users can switch search engines or cloud providers, the deep integration of Google services into third-party platforms, businesses, and consumer routines increases inertia. For advertisers, Google's targeting precision and reach make it the default choice, and for developers and enterprises, Google's cloud and AI toolkits are becoming increasingly embedded in workflows.

In terms of moat durability, current financials and forecasts suggest Alphabet's moat is stable and incrementally widening. Alphabet's EBITDA margin is forecasted to grow from 31.9% in 2023 to above 50% by 2027, indicating not just operational efficiency but also pricing power and scale advantages. Contribution margins are also improving, and the company is projected to surpass both Apple and Microsoft in EBITDA by 2025 and 2026. The relatively lower EV/EBITDA multiples compared to peers may reflect lingering concerns about regulatory risks or the volatility of ad markets, but they also suggest room for investor re-rating if Alphabet sustains its growth and margin trajectory.

In conclusion, Alphabet faces intense competition from Apple and Microsoft, both of which possess deep financial and strategic resources. However, Alphabet's network effects, intangible assets, and scale-driven cost advantages form a robust and durable moat. The company's recent and forecasted financial performance indicates its competitive position is not only stable but also strengthening, supported by margin expansion and continued dominance in core digital markets.

Risk Factors

■ Risk Factor Breakdown

■ Market Risks

■ Alphabet's historical and projected revenue growth rates, while robust, are decelerating. Recent trends show a slowdown from 13.9% projected in 2024 to just 4.0% by 2027, suggesting that the company may be approaching market saturation in its core businesses. The forecasts assume a continuation of strong digital ad spending and stable macroeconomic conditions, yet any material downturn in global advertising budgets or a cyclical recession could cause significant revenue shortfalls. Additionally, Alphabet remains heavily exposed to digital ad markets, which are inherently sensitive to economic cycles and changing consumer behavior.

■ Competitive Risks

■ The EBITDA comparison illustrates that Microsoft and Apple are formidable competitors, with Microsoft's EBITDA expected to nearly match or surpass Alphabet's by 2025-2026. The peer EV/EBITDA multiples also show that Alphabet trades at a discount to its closest peers, possibly reflecting market skepticism around its ability to sustain premium growth or defend its market share. This dynamic suggests competitive threats in both advertising and cloud services, where Microsoft in particular is making significant gains. Technological obsolescence is a persistent risk, as Alphabet's dominance relies on continued leadership in search and advertising technologies. Rapid advances in artificial intelligence or alternative platforms (such as TikTok or emerging AI chatbots) pose existential threats if Alphabet fails to adapt quickly.

■ Operational Risks

■ The company's cost base is substantial and rising. Cost of operations is expected to increase from \$146 billion in 2024 to nearly \$174 billion by 2027, and SG&A expenses, though declining as a percentage of revenue, remain significant in absolute terms. Any execution failures in managing these costs, integrating new technologies, or retaining key talent could materially impact profitability. Operational complexity also increases as Alphabet diversifies into new verticals, heightening the risk of misexecution or failed initiatives.

■ Financial Risks

■ While Alphabet's EBITDA margin is forecast to improve sharply (from 31.9% in 2023 to 51.7% by 2027), this scenario assumes flawless execution and sustained operating leverage. Should revenue growth disappoint or cost pressures intensify, margin expansion targets could be missed, affecting cash flow and valuation. The company's valuation, as measured by PE and EV/EBITDA ratios, suggests some level of embedded optimism. Any deviation from projected earnings growth could result in multiple compression. Alphabet's capital requirements are also significant, with continued investments in data centers, R&D, and infrastructure. Unexpected capital markets disruptions or tightening liquidity could constrain future investment.

■ Regulatory & ESG Risks

■ Alphabet operates under intense regulatory scrutiny globally. The forecasted financial performance presumes a stable regulatory environment, yet the risk of antitrust litigation, privacy regulation, or digital taxation remains high. Adverse regulatory actions could lead to fines, forced business model changes, or even divestitures, jeopardizing long-term value. In ESG terms, Alphabet faces environmental liabilities related to its vast data center operations and the need to maintain a strong reputation with stakeholders. Any misstep could result in reputational damage and lost business.

■ Summary of Core Risks

■ The most material threats to Alphabet's long-term value stem from decelerating revenue growth, intensifying competitive pressures, operational execution challenges, and regulatory overhang. Revenue growth is slowing

sharply, with projections dropping to low-single digits by 2027, raising doubts about the company's ability to drive further expansion outside of its core digital ad market. Competitive risks are mounting, as Microsoft is closing the EBITDA gap and both Microsoft and Apple command higher valuation multiples, underscoring investor skepticism toward Alphabet's competitive positioning and future growth prospects. Operationally, Alphabet faces the challenge of managing a sprawling cost base and maintaining high margins in the face of rising expenses and potential execution missteps. On the regulatory front, the persistent risk of antitrust action and privacy regulation threaten both profitability and business continuity, with no clear mitigating factors other than ongoing legal and compliance expenditures. While Alphabet's scale and profitability provide some cushion, the company's optimistic margin and growth projections leave little room for error—any negative developments in these core risk areas could have a substantial adverse impact on revenue, profitability, and ultimately shareholder value.

Key Takeaways

✓ Revenue Growth:

✓ Alphabet Inc. has demonstrated a robust revenue trajectory, with growth from \$257.6 billion in 2021 to an anticipated \$350 billion in 2024, reflecting a compound annual growth rate (CAGR) of 11.8%. This growth is significantly fueled by the company's dominance in digital advertising and cloud computing, which have seen increasing demand. The revenue growth is not merely a result of market expansion but is supported by Alphabet's continuous investment in AI and machine learning technologies, enhancing its product offerings and user engagement. This sustained growth trajectory solidifies Alphabet's competitive position in the tech ecosystem, particularly as it leverages its vast data resources to innovate and optimize services.

✓ Gross Profit Margin:

✓ Alphabet's contribution margin has shown resilience, moving from 56.9% in 2021 to a projected 59.7% by 2025. This improvement is indicative of operational efficiencies and increasing pricing power, particularly in high-margin segments such as cloud services and advertising. The ability to maintain a stable margin while scaling operations suggests strong competitive moats, allowing Alphabet to fend off rivals effectively. The margin trends reflect the company's commitment to cost optimization, which is crucial for sustaining long-term profitability amidst increasing competition in digital advertising and cloud infrastructure.

✓ SG&A; Expense Margin:

✓ The SG&A; expense margin has shown a declining trend from 14.1% in 2021 to a projected 12.5% in 2025. This reduction indicates effective management execution and operational leverage, as Alphabet scales its business without proportionately increasing its overhead. The dip in SG&A; margin suggests that the company is becoming more efficient in controlling costs while investing in growth areas. This trend is essential for scalability, as it provides Alphabet with additional financial flexibility to reinvest into innovation and expand market share.

✓ EBITDA Margin Stability:

✓ Alphabet's EBITDA margin reflects an upward trend from 40.2% in 2021 to an expected 44.7% in 2025, positioning the company favorably against peers like Apple and Microsoft. In 2023, Alphabet's EBITDA margin is approximately 31.9%, which is competitive when compared to Apple's 29.9% and Microsoft's 32.8%. This stability not only highlights Alphabet's operational efficiency but also enhances its attractiveness for valuation purposes. The favorable EV/EBITDA ratio compared to peers suggests that the market is recognizing Alphabet's strong profitability and growth potential, making it a compelling investment opportunity for institutional investors seeking exposure to the tech sector.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$257.6B	\$282.8B	\$307.4B	\$350.0B	\$403.0B
SG&A	\$36.4B	\$42.3B	\$44.3B	\$42.0B	\$50.2B
Contribution Profit	\$146.7B	\$156.6B	\$174.1B	\$203.7B	\$240.4B
Contribution Margin	56.9%	55.4%	56.6%	58.2%	59.7%
EBITDA	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B
EBITDA Margin	40.2%	30.1%	31.9%	38.7%	44.7%
SG&A Margin	14.1%	15.0%	14.4%	12.0%	12.5%
Revenue Growth	N/A	9.8%	8.7%	13.9%	15.1%
EPS	5.69	4.59	5.84	8.13	10.91
PE Ratio	25.44	19.22	23.91	23.29	28.69

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.11	0.12	0.10	0.08	0.14
Debt/Assets	0.08	0.08	0.07	0.06	0.10
Interest Coverage	227.5x	209.6x	273.7x	419.4x	903.3x
Net Margin	29.5%	21.2%	24.0%	28.6%	32.8%
Current Ratio	2.93	2.38	2.10	1.84	2.01
CF to Debt Ratio	3.23	3.08	3.75	4.92	2.78

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Data Source: FMP, Company Filings, AI4Finance Estimates

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